Pre-Leaving Certificate Examination, 2024

ACCOUNTING – HIGHER LEVEL

(400 marks)

TIME: 3 HOURS

This paper is divided into 3 Sections:

Section 1: Financial Accounting (120 marks).
This section has four questions (Numbers 1 – 4). The first question **(A or B)** carries 120 marks and the remaining three questions carry 60 marks each. Candidates should answer either **QUESTION 1 (A or B) only** OR answer any **TWO** of the remaining three questions in this section.

Section 2: Financial Accounting (200 marks).
This section has three questions (Numbers 5 – 7). Each question carries 100 marks. Candidates should answer any **TWO** of these questions.

Section 3: Management Accounting (80 marks).
This section has two questions (Numbers 8 and 9). Each question carries 80 marks. Candidates should answer **ONE** of these questions.

Calculators
Calculators may be used in answering the questions on this paper. It is very important that workings are shown in the answer book(s) so that full credit can be given for correct work.

SECTION 1 (120 marks)

Answer **Question 1(A)** OR **1(B)** OR any **TWO** other questions

1. Answer **(A)** or **(B)**

(A) Sole Trader - Final Accounts

The following trial balance was extracted from the books of James Barry on the 31/12/2023.

	€	€
Buildings	600,000	
Accumulated depreciation on buildings		60,000
Delivery vans (cost €160,000)	64,000	
Office equipment (cost €21,000)	12,000	
1% Investments (01/09/2023)	120,000	
Commission	3,650	
Provision for bad debts		1,350
Mortgage Interest (paid for the first four months)	2,650	
VAT		4,150
PAYE, PRSI and USC		8,250
Stock 01/01/2023	16,450	
Debtors and creditors	38,600	28,450
Salaries and general expenses	44,610	
8% Fixed mortgage (including €40,000 received on 01/07/2023)		160,000
Rent received		5,200
Suspense	765	
Purchases and sales	290,450	478,300
Discount (net)	370	
Insurance	12,900	
Bank		23,645
Drawings	26,350	
Capital		493,150
Patents (incorporating 3 months investment income)	29,700	
	1,262,495	1,262,495

The following information and instructions are to be taken into account:

(i) Stock at 31/12/2023 at cost was €29,500. Not included in this figure are goods sold on a 'sale or return' basis. These goods had been recorded as a credit sale of €3,600, which is cost plus 25%.

(ii) No record has been made in the books for 'goods in transit' on 31/12/2023. The invoice for these goods had been received showing the recommended retail selling price of €4,800, which is set at a **profit margin** of 20%.

(iii) Patents, which incorporate 3 months' investment income received, are to be written off over a five year period commencing in 2023.

(iv) During the year, stock which had cost €2,200 was destroyed by fire. The insurance company has agreed to pay compensation of €2,000.

(v) A new warehouse was purchased on 01/01/2023 for €136,200, including VAT of 13.5%. The amount paid to the vendor was entered in the buildings account. No entry was made in the VAT account.

(vi) Barry subsequently revalued the buildings at €800,000 on **01/01/2023**. This revaluation has yet to be reflected in the accounts. Buildings are to be depreciated at the rate of 2% of cost per annum.

(vii) Provide for depreciation on delivery vans at an annual rate of 12.5% of cost from date of purchase to the date of sale.
NOTE: On 30/04/2023 a delivery van, which had cost €24,000 on 30/06/2019, was traded in against a new van which cost €36,000. An allowance of €16,000 was made on the old van. The bank transfer for the net amount of this transaction was entered correctly in the bank account but was incorrectly treated as a purchase of trading stock. These were the only entries made in the books in respect of this transaction.

(viii) Goods taken by Barry for his own personal use during the year were omitted from the books. These goods had a retail value of €7,200, which is cost plus 25%.

(ix) The figure for the bank account in the trial balance had been taken from the firm's own records. However, a bank statement arrived on the 31/12/2023 showing a bank overdraft of €22,410. A comparison of the bank account and the bank statement has revealed the following discrepancies:
1. A cheque issued to a creditor for €580 on 22/12/2023 had not yet been presented for payment.
2. An online bank transfer of €750 into the business bank account was received from a debtor on the 31/12/2023. It was in full settlement of a debt of €800. No entry was made in the books in relation to this transaction.
3. Bank charges of €95 debited by the bank at the end of 2023 were not included in the business bank account figure.

(x) The suspense figure arises as a result of the posting of an incorrect figure for mortgage interest in the mortgage interest account (although the correct figure for mortgage interest had been entered in the bank account) and discount received of €215 entered only in the discount account.

(xi) Provision should be made for the following:
1. Mortgage interest due and investment income due at 31/12/2023.
2. Provision for bad debts to be adjusted to 4% of debtors.
3. Office equipment to be depreciated at 15% of cost per annum.

Required:

(a) Prepare a trading and profit and loss account for the year ended 31/12/2023. (70)

(b) Prepare a balance sheet as at 31/12/2023. (50)

(120 marks)

(B) Company Final Accounts including a Manufacturing Account

Dillon Manufacturing Ltd has an authorised capital of €1,500,000. This is divided as follows: 1,000,000 ordinary shares at €1 each and 500,000 3% preference shares at €1 each.
The following trial balance was extracted from its books at 31/12/2023:

	€	€
Goodwill (cost €50,000)	30,000	
Administration expenses	47,250	
Purchase of raw materials	379,000	
Debenture interest paid	6,950	
Dividends paid	45,000	
Profit and loss balance 01/01/2023		67,500
PAYE, PRSI, USC		18,200
Bank		14,700
Factory buildings (cost €950,000)	925,000	
Plant and machinery (cost €540,000)	480,000	
Sales		1,025,000
Rent of shop floor space	12,000	
1% Investments (acquired on 30/09/2023)	200,000	
8% Debentures (including €200,000 issued on 01/10/2023)		300,000
General factory overheads (including suspense)	46,500	
Selling expenses	46,250	
Sale of scrap materials		15,000
Issued share capital		
Ordinary shares		800,000
3% preference shares		250,000
VAT		6,300
Stocks on hand 01/01/2023		
Finished goods	28,500	
Work in progress	34,600	
Raw materials	53,500	
Discount (net)	2,250	
Direct factory wages	125,000	
Debtors and creditors	73,200	38,300
	2,535,000	2,535,000

The following information and instructions are to be taken into account:

(i) Stocks on hand at 31/12/2023:

	€
Finished goods	38,200
Work in progress	19,270
Raw materials	33,500

(ii) Goods which cost the firm €24,000 to produce were sent to a customer on a 'sale or return' basis. These goods had been entered in the books as a credit sale with a mark-up on cost of 25%.

(iii) Included in the figure for the sale of scrap materials is €5,000 received from the sale of an old machine on 30/06/2023. This machine had cost €25,000 in 2018. It is the company policy to charge a full year's depreciation in the year of acquisition but none in the year of disposal.

(iv) The suspense figure arises as a result of discount received €150 entered only in the discount account and credit purchases of raw materials €6,900 entered as €9,600 on the incorrect side of the creditor's account.

(v) During the year, stock of raw materials which had cost €6,000 was destroyed by fire. There was an excess of €500 on the insurance policy and the insurance company agreed to pay the remainder.

(vi) Provide for a recent wage increase of 6% which has been agreed with the trade unions and is to be backdated to cover the four months from 01/09/2023.

(vii) Machinery which had cost €40,000 in April 2021 was sold in October 2023. The proceeds from the disposal was €28,500. All the entries in relation to this transaction were completely omitted from the books and the cheque for €28,500 was mistakenly left in an office drawer for ten weeks and not lodged to the bank account until January 2024.

(viii) During 2023, an extension was added to the factory. The work was carried out by the company's own employees. The cost of the labour, €24,000 (**which includes the recent wage increase**), is included in factory wages. The materials, costing €21,500, were taken from stocks of raw materials. No entry had been made in the books in respect of the extension.

(ix) The figure for bank in the trial balance has been taken from the firm's records. However, a bank statement dated 31/12/2023 has arrived showing a balance of €11,709 **credit**. As well as the cheque for €28,500 left in the drawer from the sale of an old machine a comparison of the bank account and the bank statement was completed and this revealed the following discrepancies:

1. A cheque for €910 received from a debtor had been dishonoured. As the debtor was recently declared bankrupt and gone out of business, it was decided to write it off as a bad debt.
2. A cheque of €4,000 issued to a supplier has not yet been presented for payment.
3. Bank charges €99 had been deducted by the bank.

(x) A full year's depreciation on fixed assets is to be provided as follows:

Plant and machinery	10% of cost.
Buildings	2% of cost.

70% of the building's depreciation is to be allocated to the factory.

(xi) Goodwill is being written off over a 10-year period.

(xii) Provision is to be made for the following:

1. Investment income due and debenture interest due at the end of the year.
2. Corporation tax due of €54,500 to be paid in January 2024.
3. Make a provision for bad debts of 3% of debtors.
4. The managing director should be paid a bonus commission of 4% on sales in excess of €750,000.

You are required to prepare:

(a) A manufacturing, trading, profit and loss account for the year ended 31/12/2023. (70)

(b) A balance sheet as at 31/12/2023. (50)

(120 marks)

2. Depreciation of Fixed Assets

Lin Transport Ltd prepares its final accounts to the 31st December each year. The company's policy is to depreciate its trucks on a straight-line basis over 5 years. Scrap value is estimated at 10% of the original cost of the truck. Depreciation is charged from the date of purchase to the date of disposal. (Calculations should be to the nearest euro.)

On 01/01/2022, Lin Transport Ltd owned the following trucks:

Truck no.1, purchased on 31/07/2018 for €85,000.
Truck no.2, purchased on 01/03/2019 for €92,000.
Truck no.3, purchased on 31/05/2020 for €96,000.

On 01/10/2022, truck no. 1 was traded in against another truck costing €98,000. Truck no. 1 had a refrigeration unit fitted on 01/07/2020. The cost of the refrigeration unit was €8,500 and the cost of installing it was a further €1,500. This refrigeration unit was depreciated at 25% of cost per annum with no residual scrap value. The trade-in allowance was €40,000.

On 30/04/2023, the cab on truck no. 2 was damaged in an incident and had to be repaired. This cost the company €6,000. On the 30/06/2023 it was then decided to trade in this truck for a new one costing €100,000. A bank transfer of €60,000 was paid for the new truck.

You are required to show with workings for each of the two years, 2022 and 2023:

(a) The truck account (8)

(b) The provision for depreciation account (28)

(c) The truck disposal account (14)

(d) The relevant entries for the Profit and Loss Account for the year ended 31/12/2023. (6)

(e) What factors determine the annual charge for depreciation? (4)

(60 marks)

Blank Page

3. Departmental Final Accounts of a Sole Trader

The Kelly sports clothing family business is divided into two departments - Indoor and Outdoor. The following balances were extracted from its books on 31/12/2023.

	€	€
Capital		263,310
Buildings (cost €300,000)	270,000	
Delivery vans (cost €75,000)	56,000	
Debtors and creditors	34,200	37,500
6% Fixed mortgage		100,000
Indoor department		
Stock 01/01/2023	17,500	
Purchases and sales	175,000	231,000
Carriage inwards	1,500	
Returns outwards		750
Outdoor department		
Stock 01/01/2023	12,600	
Purchases and sales	145,000	189,000
Customs duty	2,250	
Returns inwards	1,100	
Salaries and general expenses	66,500	
Cleaning	4,650	
Light and heat	8,460	
Advertising	5,600	
Insurance	7,200	
Mortgage interest paid	2,000	
Bank	12,000	
	821,560	821,560

You are given the following additional information:

(i) Stock at 31/12/2023: Indoor: 26,400
Outdoor: 18,500

Note: On the 31/12/2023, Indoor stock which had cost €3,000 was damaged. It now has a net realisable value of 60% of cost. The closing stock figure needs to be adjusted to take account of this.

(ii) Stock of heating oil at 31/12/2023 was €750.

(iii) Provide for mortgage interest due.

(iv) The advertising payment was an annual payment commencing on 01/07/2023.

(v) Insurance is paid for the year ended 30/04/2024.

(vi) A debtor who owed Kelly €1,500 in the Outdoor department has been declared bankrupt and it has been decided that the debt should be wriiten off as bad.

(vii) The floor space of the firm is divided as follows:

Indoor:	300 square metres
Outdoor:	600 square metres

(viii) Depreciation is to be provided as follows:

Buildings at 2% of cost.
Delivery vans at 12.5% of book value.

(ix) Expenses applicable to both departments should be divided on the basis of sales or floor space where appropriate.

Required:

(a) Prepare a departmental trading and profit and loss account for the year ended 31/12/2023. (48)

(b) What factors should the owners of a business consider before deciding to actually close down an unprofitable department? (12)

(60 marks)

4. Farm Accounts

Among the assets and liabilities of Mike Maguire, who carries on a mixed farming business, on 01/01/2023 are: land and farm buildings at cost €500,000, tractors and machinery at cost €165,000, electricity due €530, value of cattle €19,500, value of sheep €17,600, milk cheque due €1,350, stock of fuel €650, stock of fertiliser €1,390. There was also a mart cheque due of €4,200 as a result of three cattle being sold at the mart at the end of December 2022.

All the fixed assets have two years depreciated accumulated on 01/01/2023.

The following is a summary of the cheque payments and lodgements for the year ending 31/12/2023:

Lodgements	**€**	**Payments**	**€**
Milk	35,600	Balance 01/01/2023	3,650
Cattle	19,500	Light, heat and fuel	4,750
Sheep	13,750	Sheep	9,500
Lambs	8,910	Cattle	13,600
Ewe premium	8,000	Veterinary fees and medicines	7,200
Beef premium	9,500	Fertiliser	5,950
Forestry premium	6,000	Repairs	3,200
6 months interest to 31/03/2023 from 1% investments	200	Drawings	15,600
		Public liability insurance	6,600
Inheritance	20,000	General farm expenses	13,600
BPS annual grant (single payment)	15,000	Bank loan plus 16 months' interest at 6% per annum on 31/08/2023	27,000
		Machinery	15,000
		Dairy wages	8,200
		Balance 31/12/2023	2,710
	136,460		136,560

The following information and instructions are to be taken into account:

		Cattle	**Sheep**
(i)	Value of livestock on 31/12/2023:	cost €30,000 (market value €26,000)	cost €15,000 (market value €18,000)

(ii) Farm produce used by the family during the year: lamb €600, milk €810.

(iii) The payment for public liability insurance is for a 12-month period commencing on the 01/03/2023. This insurance relates entirely to the farm.

(iv) General farm expenses, fertilisers and veterinary fees are to be apportioned 70% cattle and milk, and 30% to sheep.

(v) Veterinary fees and medicines include a cheque for private health insurance of €1,980.

(vi) Depreciation on tractors and machinery is provided for at 12.5% of cost of machinery held at 31/12/2023. Depreciation on farm buildings is 2% per annum on cost. The land is valued at cost of €200,000.

(vii) All other expenses excluding depreciation are to be apportioned 75% to farm and 25% to household.

(viii) On the 31/12/2023, there is a milk cheque due for €1,400 and there are creditors for fertilisers of €450. There was a stock of fertiliser of €1,790 and a stock of fuel of €630. There was also a cheque due from the mart of €2,620.

(ix) Bank charges €160 for the year were not recorded in the books.

Required:

(a) Prepare Maguire's statement of capital for the farm on 01/01/2023. (20)

(b) Prepare an enterprise analysis account for 'cattle and milk' and 'sheep' for the year ended 31/12/2023. (20)

(c) Prepare Maguire's general profit and loss account for the year ended 31/12/2023. (14)

(d) Explain the difference between a capital receipt and a revenue receipt for a business. Give an example of each from Maguire's accounts. (6)

(60 marks)

SECTION 2 (200 marks)
Answer any **TWO** questions

5. Interpretation of Accounts

The following figures have been extracted from the final accounts of Harman plc, a company involved in the renewable energy industry, for the year ended 31/12/2023. The company has an authorised capital of €750,000 made up of 500,000 ordinary shares at €1 each and 250,000 6% preference shares at €1 each.
Harman plc has already issued 250,000 ordinary shares and 150,000 6% preference shares.

Trading and Profit and Loss Account for the year ended 31/12/2023	
	€
Sales	1,350,000
Cost of goods sold	(935,000)
Operating expenses for the year	(193,000)
Interest for year	(24,000)
Net profit for year	198,000
Dividends paid	(62,000)
Retained profit	136,000
Profit and loss balance 01/01/2023	473,500
Profit and loss balance 31/12/2023	609,500

Ratios and information for year ended 31/12/2022	
Earnings per ordinary share	46.4c
Dividend per ordinary share	14.28c
Interest cover	3.4 times
Acid test ratio	0.8 : 1
Market value of an ordinary share	€1.73
Return on capital employed	14.3%
Gearing	44.6%
Dividend cover	3.25 times
Dividend yield	8.25%
Return on equity funds	20.2%
Stock as at 31/12/2022	€ 47,000

Balance Sheet as at 31/12/2023		
Fixed Assets	**€**	**€**
Intangible	50,000	
Tangible	920,000	
Investments (market value 31/12/2023, €240,000)	200,000	1,170,000
Current Assets (including stock €39,000 and debtors €27,000)	78,000	
Less Creditors: amounts falling due within 1 year		
Trade creditors	34,500	
Other creditors	4,000	39,500
		1,209,500
Financed By:		
8% Debentures (2029/2030 secured)		200,000
Capital and Reserves		
Ordinary shares @ €1 each	250,000	
6% Preference shares @ €1 each	150,000	
Profit and loss balance	609,500	1,009,500
		1,209,500

Market value of one ordinary share on 31/12/2023 is **€1.85.**

(a) **You are required to calculate the following for 2023:**
(where appropriate calculations should be made to **two** decimal places).

(i) Cash sales if the period of credit given to debtors is 2.5 months.

(ii) Return on shareholders' funds.

(iii) How long it would take one ordinary share to recoup (recover) its 2023 market price based on present dividend payout.

(iv) Interest cover.

(v) The rate of stock turnover. (50)

(b) Advise a friend of yours who has been given the opportunity to buy ordinary shares in Harman plc but before doing so asks your opinion. What advice would you give? Use relevant ratios, percentages and any other information from the above to support your answer. (40)

(c) Harman plc is considering expansion by purchasing another company in the renewable energy sector. The following information for 2023 has been obtained on two possible purchases of similar companies:

	PureAer	**Airnu**	
Return on Capital Employed	19%	15.6%	
Current Ratio	1.95:1	1.3:1	
Liquid (Acid Test) Ratio	0.75:1	1.2:1	(10)

Advise Harman plc which business, if any, should be purchased on the basis of the information provided.

(100 marks)

6. Correction of Errors and Suspense Account

The trial balance of John Fowler, a stationery supplier, failed to agree on the 31/12/2023.
The difference was entered in a suspense account and the following balance sheet was prepared.

Balance Sheet as at 31/12/2023			
	€	€	€
Fixed Assets	**Cost**	**Dep. to date**	**Net book value**
Premises	565,000	(85,000)	480,000
Equipment	110,000	(36,000)	74,000
Motor vehicles	44,000	(16,000)	28,000
	719,000	(137,000)	582,000
Current Assets			
Stock	55,290		
Debtors (including suspense)	78,500		
Expenses prepaid	650		
Cash	490	134,930	
Creditors: amounts falling due within 1 year			
Creditors	41,230		
Bank	3,850		
VAT	6,960	(52,040)	
Net current assets			82,890
Total assets less current liabilities			664,890
Financed by:			
Creditors (amounts falling due after more than one year)			
Mortgage			75,000
Capital account			
Capital		582,840	
Net profit		31,670	
		614,510	
Less drawings		(24,620)	589,890
			664,890

On examination of the books, the following errors and omissions were revealed:

(i) A private debt of €950, owed by Fowler, had been offset in full settlement against a business debt of €1,050 owed to Fowler. No entry had been made in the books in respect of this transaction.

(ii) Fowler purchased stationery stock from Executive Stationers Ltd for €1,800 plus VAT at 13%. The only entries in the accounts were that the VAT exclusive figure was entered on the credit side of Executive Stationers Ltd account and the VAT inclusive figure was entered on the credit side of the purchases account.

(iii) The expenses prepaid figure relates to an 18-month payment of €3,600 for rent of a warehouse which commenced on 01/01/2023. The payment was recorded correctly in both the bank account and rent account. However, it was pointed out by an internal auditor that the figure for the amount prepaid was incorrectly calculated. No entry has been made in the books to make this correction.

(iv) Fowler received a cheque of €5,700 in full settlement of a business debt €6,000 and this was correctly recorded in the books. However, no entry had been made in the books of the dishonouring of this cheque and the subsequent payment of €1,500 cash received from the customer. This €1,500 was put in the safe.

(v) Equipment purchased on credit from N. Harvey for €3,500 has been entered as €5,300 on the correct side of Harvey's account and as €3,050 on the credit side of the purchases account.

Required:

(a) Journalise the necessary corrections. (50)

(b) Show Fowler's suspense account. (8)

(c) Prepare a statement showing the corrected net profit for Fowler. (12)

(d) Prepared the corrected balance sheet for Fowler. (22)

(e) Outline two types of error not revealed by a trial balance. (8)

(100 marks)

7. Cash Flow Statement

The following are the balance sheets of Korda Plc. as at 31/12/2022 and 31/12/2023.

Balance Sheets as at:	**31/12/2023**		**31/12/2022**	
	€	**€**	**€**	**€**
FIXED ASSETS				
Intangible Assets				
Patent		30,000		40,000
Tangible Assets				
Land and buildings	610,000		495,000	
less accumulated depreciation	(70,000)	540,000	(53,000)	442,000
Plant and machinery	235,000		210,000	
less accumulated depreciation	(62,000)	173,000	(73,000)	137,000
		713,000		579,000
Financial Assets				
Quoted investments		35,000		55,000
		778,000		674,000
Current Assets				
Stock	77,250		59,650	
Debtors (less 3% provision)	82,450		67,900	
Government securities	45,000		15,000	
Bank	-------		7,450	
Cash	720		840	
	205,420		150,840	
Less Creditors: (amounts falling due within 1 year)				
Trade creditors	39,670		44,550	
Bank overdraft	10,150		-------	
Taxation	23,450		29,440	
Interest payable due	8,750		9,210	
	82,020		83,200	
Net Current Assets		123,400		67,640
		901,400		741,640
Financed by:				
Creditors: (amounts falling due after more than 1 year)				
8% debentures		280,000		350,000
Capital & Reserves				
Issued Capital				
Ordinary shares	350,000		300,000	
Share premium	10,000		----------	
Revaluation reserve	45,000		----------	
Revenue reserves	216,400	621,400	91,640	391,640
		901,400		741,640

The following information is also available:

(i) The taxation due on 31/12/2022 was paid in full during the year.

(ii) Dividends paid during the year amounted to €32,000.

(iii) The redemption of debentures took place on 30/06/2023.

(iv) The patent is to be amortised over a seven-year period which commenced in 2020.

(v) Plant and machinery which had cost €60,000 was sold for €35,000.

(vi) There was no disposal of buildings during the year but an extension to one of the existing buildings was built by the company.

(vii) The revaluation that took place related to an increase in the value of land.

(viii) The total depreciation charge for the year was €45,000.

(ix) 50,000 shares were issued at €1.20 per share.

(x) The reduction in the value of the quoted investments was as a result of a disposal of some of those investments at their balance sheet value.

You are required to:

(a) Prepare an abridged profit and loss account for the year ended 31/12/2023, in order to establish the operating profit. (20)

(b) Prepare the cash flow statement of Korda Plc. for the year ended 31/12/2023, including reconciliation statements. (70)

(c) (i) Give **one** reason why Korda plc would amortise (write-off) patents.

(ii) Comment on the change in liquidity position of Korda plc from 2022 to 2023. (10)

(100 marks)

SECTION 3 (80 marks)
Answer **ONE** question

8. Overhead Apportionment/Job Costing

Wyndham Ltd has two production departments (assembly and finishing) and also has two ancillary service departments (finance and human resource). Service department overheads are to be apportioned to production departments on the basis of labour hours.

The following are the budgeted overheads for the year ended 31/12/2024:

	Total	Assembly	Finishing	Finance	HR
Overhead	**€**	**€**	**€**	**€**	**€**
Indirect labour	18,900	15,120	3,780		
Material handling costs	9,900	5,500	4,400		
Factory cleaning	12,500				
Machine maintenance	21,600				
Factory light and heat	36,000				
Depreciation on machinery	25,000				
Factory buildings insurance	2,700				
Factory canteen	14,850				
Rent and rates	12,600				
Supervisors' salaries	50,850				
Administration costs	9,675				

The following information relating to the Production and Service departments of the factory is also available:

	Total	Production Departments		Service Departments	
		Assembly	Finishing	Finance	HR
Direct materials (€)	180,000	100,000	80,000		
Machine hours	50,000	30,000	20,000		
Labour hours	75,000	60,000	15,000		
Floor space (sq. metres)	20,000	10,000	5,000	3,000	2,000
Volume (sq. metres)	30,000	15,000	10,000	3,000	2,000
Machinery valuation (€)	200,000	150,000	50000		
Number of employees	45	25	10	5	5

Wyndham Ltd has been recently asked to give a quotation for a job contract **(Ref: Job no. AB6710)**. The details are:

	Direct Materials	Direct Labour	Machine Hours	Labour Hours
	€	**€**		
Production Dept – **Assembly**	4,500	3,600	280	320
Production Dept – **Finishing**	3,200	4,350	350	275

The company budgets for a profit margin of 30%.

You are required to:

(a) Calculate the overhead to be absorbed by each department, stating clearly the basis of apportionment used.

(b) Transfer the ancillary service department costs to the production departments.

(c) Calculate a suitable overhead absorption rate for each production department.

(d) Calculate the selling price of Job no. AB6710.

(e) Calculate the under/over-absorption of overhead if actual production overheads were €160,000.

The actual hours worked is as follows:

	Assembly	**Finishing**
Machine hours	28,000	19,100
Labour hours	42,500	17,000

What effect does your answer have on net profit of Wyndham Ltd?

(80 marks)

9. Budgeting

Daly Ltd is preparing to set up business on 01/01/2025 to manufacture a single product. Below is the sales budget for the company for the first 6 months of 2025.

Sales Budget	Jan	Feb	March	April	May	June
Sales units	250	300	320	360	400	440
Sales Revenue (€)	100,000	120,000	128,000	144,000	160,000	176,000

(i) The product requires 10 kgs of material F per unit, which costs €18.00 per kg.

(ii) Stocks of finished goods are maintained at 75% of the following month's sales requirements.

(iii) Stocks of raw materials, sufficient for 20% of the following month's requirements in kgs, are held at the end of each month.

(iv) The cash collection pattern from sales is expected to be:

Cash Customers 20% of sales revenue for immediate cash, for which a 5% cash discount is allowed.

Credit Customers 80% of sales revenue will be from credit customers. These debtors will pay their bills, 50% in the month after sale and the remainder in the second month after sale.

(v) One month's credit is received from suppliers.

(vi) Expenses of the business will be settled as follows:

Expected Costs Wages €25,000 per month, payable one month in arrears. Variable overheads are €10 per unit, payable as incurred. Fixed overheads (including depreciation) €8,000 per month, payable as incurred.

Capital Costs Equipment will be purchased in January and paid for in March costing €42,000, which will have a useful life of 7 years. To finance this purchase, a loan of €35,000 will be secured on 1st February at 6% per annum. Interest is to be paid monthly, but capital loan repayments will not commence until August 2025.

Required:

(a) Prepare a production budget for the four months January to April 2025.

(b) Prepare a raw materials purchases budget (in units and €) for the four months January to April 2025.

(c) Prepare a cash budget for the four months January to April 2025.

(d) Prepare a budgeted trading and profit and loss account for the four months ending 30/4/2025 (if the actual cost of a unit of finished goods is €25).

(e) On the basis of the cash budget you have prepared, what advice would you give to Daly Ltd?

(80 marks)